

FEDERAL MARITIME COMMISSION

DOCKET NO. 12-02

MAHER TERMINALS, LLC

v.

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

INITIAL DECISION GRANTING MOTION TO DISMISS¹

I. Introduction

A motion to dismiss was filed by Respondent, The Port Authority of New York and New Jersey ("PANYNJ" or "Port Authority") on April 26, 2012. A reply in opposition to the motion to dismiss was filed by Complainant Maher Terminals, LLC ("Maher") on May 11, 2012. PANYNJ also requested a stay until a related proceeding, FMC Docket 08-03, was completed. The Initial Decision in Docket 08-03 was issued on April 25, 2014, and the Commission issued its Memorandum Opinion and Order on December 17, 2014.

Maher alleges that PANYNJ violated and continues to violate sections 41102(c), 41106(2), 41106(3), and 41106(1) of the Shipping Act of 1984 ("Shipping Act"). PANYNJ contends that this proceeding should be dismissed for a number of reasons, including failure to plead a plausible violation of the Shipping Act.

Maher does not contend that its complaint meets current federal standards for pleading motions to dismiss but rather argues, unpersuasively, that those standards do not apply to Commission proceedings. As discussed more fully below, the complaint frequently relies on labels, conclusions, and formulaic recitations of elements of claims. Even after extensive discovery in related proceedings, the complaint fails to provide sufficient information to allege facially plausible violations of the Shipping Act.

¹ The Initial Decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

For the reasons set forth below, PANYNJ's motion to dismiss is granted. This decision is divided into four parts: introduction, the arguments of the parties, discussion, and the order.

II. Arguments of the Parties

PANYNJ moves to dismiss the proceeding, arguing that Maher's complaint lacks any merit and should be dismissed. Motion at 8-30. PANYNJ asserts that Maher's claims based on purported allowances granted to APM-Maersk and change of control practices must be dismissed for multiple reasons, including collateral estoppel, failure to meet pleading standards, and the statute of limitations; Maher's claims based on lease provisions not found in Maher's lease must be dismissed for lack of standing and ripeness; and Maher fails to state claims concerning the PNCT terminal expansion and the letting of the global terminal upon which relief can be granted. Motion at 8-30. PANYNJ further moves to stay the proceedings until final resolution of the proceeding in Docket 08-03. Motion at 30-38.

Maher opposes the motion to dismiss, asserting that its claims satisfy the Commission's pleading standards; Maher has standing to seek a cease and desist order barring PANYNJ's unreasonable leasing practices; Maher has standing to bring unreasonable leasing practices claims seeking reparations; Maher's claims pertaining to PANYNJ's agreement to defer construction obligations and lease transfer consent practices are not barred by the doctrine of collateral estoppel/issue preclusion; Maher's lease transfer consent and construction financing claims seeking reparations are not barred by a statute of limitations; and PANYNJ fails to meet its burden of showing a stay is warranted. Opposition at 6-59.

III. Discussion

A. Jurisdiction

The Shipping Act provides that a "person may file with the . . . Commission a sworn complaint alleging a violation of this part." 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 997-99 (FMC 2006); *see also Cargo One, Inc. v. Cosco Container Lines Co., Ltd.*, 28 S.R.R. 1635, 1645 (FMC 2000). Complainant alleges violations of the Shipping Act by a port authority and the Commission has jurisdiction over the allegations and the parties.

B. Motion to Dismiss Standard

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules of Practice and Procedure states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. "In evaluating whether a complaint before the

Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal caselaw interpreting it.” *Cornell v. Princess Cruise Lines, Ltd., Carnival PLC, and Carnival Corp.*, 33 S.R.R. 614, 620 (FMC 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 136 (FMC 2011)).

The Commission explained:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662,] 129 S. Ct. 1937, 1949 (2009). The complaint must be sufficient to “give the defendant fair notice of what the ... claim is and the grounds upon which it rests.” *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); see also 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) (“[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to respond.”).

Mitsui O.S.K. Lines Ltd., 32 S.R.R. at 136.

“A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.” *Iqbal*, 129 S. Ct. at 1949 (quoting *Twombly*, 550 U.S. at 555). “When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 129 S. Ct. at 1950. The Commission explained:

Courts also construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint. The Commission need not, however, accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint. Moreover, the Commission need not “accept legal conclusions cast in the form of factual allegations.” [*Kowal v. MCI Commc’ns Corp.*, 16 F.3d 1271, 1276 (D.C. Cir. 1994).]

Cornell v. Princess Cruise Lines, Ltd., Carnival PLC, and Carnival Corp., 33 S.R.R. at 620-21 (citations omitted).

As one federal district court explained:

In evaluating a complaint under *Twombly* and *Iqbal*, a district court must engage in a two-step process. First, the court must begin by “identifying pleadings that, because they are no more than conclusions, are not entitled to the assumption of truth.” *Iqbal*, 129 S. Ct. at 1449. In other words, “[t]hreadbare recitals of the elements of a cause of action, supported by mere conclusory statements, do not suffice.” *Id.* Second, the court must decide whether the remaining allegations in the complaint – taken as true – state a “plausible claim for relief.” *Id.* (quoting *Twombly*, 550 U.S., at 570). This determination is a “context-specific task that requires the reviewing court to draw on its judicial experience and common sense” to decide whether the facts “permit the court to infer more than the mere possibility of misconduct.” *Id.* at 1450 (citing *Iqbal v. Hasty*, 490 F.3d 143, 157 (2nd Cir. 2007)). In essence, “a claim has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Id.* at 1449.

Brown v. Cox, 2011 U.S. Dist. Lexis 82743, *4-*5 (E.D. Va. 2011).

Maher does not contend that the complaint meets the *Twombly/Iqbal* standard, instead arguing that the “centerpiece of PANYNJ’s motion–alleged failure to meet heightened pleading standards under FRCP Rule 8 and *Iqbal/Twombly*–is premised on the wrong standard that the Commission has *declined to adopt*.” Opposition at 2 (emphasis in original). Maher contends that the Commission precedent favors “a more lenient pleading standard” because the Commission’s Rules permit amendment of complaints and the filing of a motion for a more definite statement. Opposition at 6-8. However, the Commission has long referred to federal caselaw regarding FRCP 12(b)(6) in evaluating motions to dismiss. See, e.g., *McKenna Trucking Co., Inc. v. Maersk Inc.*, 27 S.R.R. 1043, 1054 (ALJ 1997). Moreover, the Commission has clearly indicated that federal caselaw interpreting FRCP 12(b)(6), including *Twombly* and *Iqbal*, continues to apply to motions to dismiss filed in Commission proceedings, including in a 2011 case cited by Maher. *Cornell*, 33 S.R.R. at 620; *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. at 136.

C. Prior Proceedings

There are two previous Federal Maritime Commission proceedings between these parties. Both prior proceedings involve a thirty-year marine terminal lease, EP-249, between landlord PANYNJ and tenant Maher, dated October 1, 2000, and filed with the Commission as FMC Agreement No. 201131.

In Docket 07-01, another port tenant, APM-Maersk, filed a complaint against PANYNJ alleging that APM-Maersk did not receive an additional portion of marine terminal property by the date on which APM-Maersk’s lease required PANYNJ to provide it, and that the delay caused harm to APM-Maersk and showed a preference for Maher. PANYNJ filed a third-party complaint against

Maher and Maher filed a counter-complaint against PANYNJ. When APM-Maersk and PANYNJ settled, the remaining counter-complaint filed by Maher against PANYNJ was consolidated with Docket 08-03. *APM Terminals v. The Port Authority of New York and New Jersey*, FMC Docket 07-01 (FMC Apr. 1, 2009) (Order Denying Exceptions and Petition for Stay).

In Docket 08-03, Maher filed a complaint against PANYNJ alleging that the APM-Maersk lease and Maher lease differ on several provisions, including the basic annual rental rate, investment requirements, throughput requirements, first point of rest requirement for automobiles, and the security deposit requirement. Maher alleged that these differences discriminate against Maher, a terminal operator, in favor of APM-Maersk, a terminal operator and ocean carrier, in violation of the Shipping Act. Maher also alleged a failure to establish, observe, and enforce just and reasonable practices and an unreasonable refusal to deal. After extensive discovery² and thorough briefing, on April 25, 2014, an Initial Decision was issued which found that PANYNJ did not violate the Shipping Act. That decision was affirmed by the Commission on December 17, 2014. *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, FMC Docket 08-03, (FMC Dec. 17, 2014) (Memorandum Opinion and Order) (referred to as "Dkt. 08-03 Order").

D. Overview

Maher alleges violations of four sections of the Shipping Act, based on five different factual scenarios, and lists fourteen separate counts. The complaint does not specifically identify which factual scenarios apply to which counts. Many of the allegations involve leasing practices which Maher contends are unreasonable, particularly practices which are not consistent between tenants.

The focus at this stage is not with whether Complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Insurance Co.*, 2014 U.S. Dist. Lexis 125179, *5 (M.D. Tenn. 2014). "What *Twombly* and *Iqbal* teach is that where there are other plausible explanations, it is not sufficient to speculate in a complaint and particularly to base that speculation on no facts at all." *CIBA Vision Corp. v. De Spirito*, 2010 U.S. Dist. Lexis 11386, *22-23 (N.D. Ga. 2010).

As explained more fully below, Maher's complaint does not meet the *Iqbal/Twombly* pleading standard. The complaint does not plead claims which are facially plausible and give fair notice of the claims and grounds.

E. Facts

For purposes of evaluating the motion to dismiss, the facts presented by Maher are presumed true. In the statement of facts and matters complained of, presented in its entirety, Maher contends that:

² PANYNJ asserts that in the 08-03 proceeding, it produced over two million pages of documents and more than 250 pages of interrogatory responses. Motion at 35 n.14.

PANYNJ's Unlawful Transfer/Change of Control Practices

- A. PANYNJ has a practice of requiring payments and other economic consideration from marine terminal operators in order to obtain PANYNJ's consent to transfers of marine terminal leases and changes in ownership and/or control interests of marine terminal operator tenants.
- B. PANYNJ's published policy provides that after appropriate due diligence has been conducted the PANYNJ Executive Director determines that the entity assuming ownership or control of the lease or tenant shall pay to the Port Authority such economic consideration as the Executive Director determines to be appropriate under the circumstances.
- C. PANYNJ has required payments of cash and commitments of other economic considerations to obtain PANYNJ's consent to transfers and/or changes of ownership and/or control interests including approximately \$237 million in such consideration with respect to Port Newark Container Terminal ("PNCT"), New York Container Terminal Inc. ("NYCT"), and Maher.
- D. PANYNJ has in other instances consented to transfers and/or changes of ownership and/or control of interests without requiring payment of cash and/or commitments of other economic considerations to obtain PANYNJ's consent to transfers and/or changes of ownership and/or control interests with respect to other PANYNJ marine terminals.
- E. PANYNJ has not fairly, uniformly, or reasonably observed or enforced its policy of conducting "appropriate due diligence" or requiring "appropriate" consideration with respect to consents granted by PANYNJ to transfers and/or changes of ownership and/or control interests involving PANYNJ marine terminal operator tenants.
- F. PANYNJ's practice to require entities assuming ownership or control interests of a lease to pay and/or provide economic consideration in order to obtain PANYNJ's consent to a change in ownership and/or control interests established, observed, and enforced by PANYNJ unduly prejudices Maher by unjustly overcharging Maher for the benefit received. *Volkswagenwerk Aktiengesellschaft v. Federal Maritime Commission*, 390 U.S. 261 (1968).
- G. PANYNJ's practice to require entities assuming ownership or control of a lease to pay and/or provide economic consideration in order to obtain PANYNJ's consent to a change in ownership interest and/or control established, observed, and enforced by PANYNJ unjustly and unreasonably requires economic consideration in exchange for consent for reasons

unrelated to and/or for consideration in excess of the cost of the service provided. *Volkswagenwerk Aktiengesellschaft v. Federal Maritime Commission*, 390 U.S. 261 (1968).

- H. PANYNJ's practice to require entities assuming ownership or control of a lease to pay and/or provide economic consideration to obtain PANYNJ's consent to a change in ownership interest and/or control established, observed, and enforced by PANYNJ unduly prejudices Maher by unjustly overcharging Maher as compared to other marine terminal operators. *Ceres Marine Terminal v. Md Port Admin*, No. 94-01, 27 S.R.R. 1251 (FMC Oct. 10, 1997); *Ceres Marine Terminal v. Md. Port Admin*, No. 94-01, 29 S.R.R. 356 (FMC Aug. 15, 2001).

Unreasonable and Discriminatory Actions and Practices with Respect to Ocean Carriers and Ocean-Carrier-Affiliated Maritime Terminals.

- I. PANYNJ has an unreasonable practice of providing unduly preferential treatment to ocean carriers and ocean-carrier-affiliated marine terminals that has and continues to unduly prejudice Maher.
- J. Until approximately on or about October 1, 2009, Mediterranean Shipping Company ("MSC"), an ocean carrier, was Maher's largest customer by container volume at its PANYNJ marine terminal.
- K. Prior to on or about October 1, 2009, PNCT had sought unsuccessfully to negotiate an agreement with PANYNJ to expand the PNCT terminal.
- L. On or about October 1, 2009, MSC moved its PANYNJ container business from Maher to PNCT.
- M. PANYNJ was aware that PNCT did not have sufficient container handling capacity to adequately handle MSC's container volume served by Maher.
- N. PANYNJ was aware that MSC's move to PNCT was not feasible in the long term without substantial expansion of PNCT's terminal.
- O. Pursuant to PANYNJ's change of control/transfer of ownership interest policy and practice MSC could not obtain an ownership interest in PCNT without obtaining PANYNJ's consent.
- P. PANYNJ was aware that the loss of MSC's business to PNCT would harm Maher.

- Q. Following MSC's move to PNCT, PANYNJ announced an agreement with PNCT and MSC to expand the PNCT terminal and provide other concessions to PNCT.
- R. The agreement involves PANYNJ granting its consent for MSC's taking an ownership interest in PNCT, PANYNJ lowering PNCT's lease rates, PANYNJ agreeing to a terminal expansion nearly doubling the size of PNCT's terminal, providing preferential chassis storage and extending the lease approximately 20 years in exchange for PNCT investing in the terminal and purportedly guaranteeing via rent certain levels of MSC cargo.
- S. PANYNJ did not provide the same or comparable expansion opportunities, rate reductions, lease extension, or other preferences to Maher.
- T. PANYNJ did not provide for a reduction of Maher's container volume, rent or other obligations under its lease with PANYNJ.

Unreasonable Leasing Practices

- U. PANYNJ has a practice of requiring lease provisions in marine terminal leases, lease extensions, and/or amendments and modifications, that (i) unreasonably require tenants to provide general releases and/or waivers of claims, including to release PANYNJ from potential violations of the Shipping Act, (ii) require tenants to agree to liquidated damages provisions that are unreasonable and which are designed to trigger if Shipping Act claims are brought against PANYNJ, and (iii) require lease rate renewal and/or extension provisions that purport to set future lease rates in advance in a manner not reasonably related to the cost of the services provided.
- V. Prior to PANYNJ entering into the June 23, 2010, lease agreement with Global Terminal Container Services, LLC (Lease No. LPJ-001) for the operation of a marine terminal facility located outside the Bayonne bridge (hereinafter the "Global Lease"), PANYNJ unreasonably excluded Maher from consideration as a prospective operator of the marine terminal that is the subject of the Global Lease.
- W. PANYNJ has continued its practice of categorically excluding Maher, and other existing container terminal operators, from operating the marine terminal that is the subject of Global Lease in the future by excluding existing terminal operators from qualifying as Qualified Transferees under the Global Lease.

Unreasonable and Discriminatory Actions Regarding Capital Expenditure Obligations

- X. On July 24, 2008, PANYNJ unreasonably granted to APM the undue preference, effective as of April 1, 2009, which also unduly prejudices Maher, consisting of the deferral until 2017 of APM's leasehold capital expenditure obligations valued at approximately \$50 million dollars that should have been completed by APM, but which were not completed as required.
- Y. In addition to consenting to the deferral of the required work, PANYNJ approved APM's use of PANYNJ construction financing, in amounts equal to or exceeding the costs of the deferred mandatory work, for other projects, including but not limited to, a large expansion of APM's container handling capacity.

Unreasonable Refusal to Deal or Negotiate

- Z. As of June 23, 2010, PANYNJ entered into a lease agreement with Global Terminal & Container Services, LLC (Lease No LPJ-001) for the operation of a marine terminal facility (hereinafter the "Global Lease").
- AA. Despite Maher's request, prior to entering into the Global Lease PANYNJ unreasonably refused to deal or negotiate with Maher with respect to the letting of the marine terminal facility which is the subject of the Global Lease.
- BB. Despite Maher's request for parity, PANYNJ unreasonably refused to deal or negotiate with Maher with respect to the deferral of Maher's leasehold capital expenditure obligations or other financial obligations like the foregoing deferral granted to APM or provide other relief.
- CC. PANYNJ's practice to require entities assuming ownership or control of a lease to pay and/or provide unreasonable economic consideration in order to obtain PANYNJ's consent to a change in ownership interest and/or control established, observed, and enforced by PANYNJ constitutes an unreasonable refusal to deal by PANYNJ.

Complaint at 2-7.

F. Analysis

1. Failure to Establish, Observe, and Enforce Just and Reasonable Regulations; 46 U.S.C. § 41102(c)

Under the Shipping Act, 46 U.S.C. § 41102(c), previously Section 10(d)(1),³ a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

“The appropriate inquiry under Section 10(d)(1) . . . [is] the *Volkswagenwerk* standard of ‘whether the charge levied is reasonably related to the services rendered.’” *Secretary of the Army v. Port of Seattle*, 24 S.R.R. 595, 602 (FMC 1987), reaffirmed on reconsideration, 24 S.R.R. 1242, 1248 (FMC 1988) (quoting *Volkswagenwerk Aktiengesellschaft v. Federal Maritime Commission*, 390 U.S. 261, 282 (1968)). In *Secretary of the Army*, the Commission held that a large rate differential was excessive given the similarity of the services provided, and hence violated the “reasonable relationship” requirement of Section 10(d)(1) of the 1984 Act. *Secretary of the Army*, 24 S.R.R. at 601-602.

The “Commission has stated that ‘[t]he test of reasonableness as applied to terminal practices is that the practice must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view.’” *Kawasaki Kisen Kaisha, Ltd. v. The Port Authority of New York and New Jersey*, Docket 11-12 at 18 (Order Affirming Dismissal of Complaint) (FMC Nov. 20, 2014) (quoting *W. Gulf Mar. Ass’n v. Port of Hous. Auth.*, 18 S.R.R. 783, 790 (FMC 1978), *aff’d without opinion sub nom. W. Gulf Mar. Ass’n v. FMC*, 610 F.2d 1001 (D.C. Cir. 1979), *cert. denied*, 449 U.S. 822 (1980)). With regard “to charges assessed by an MTO, the question under section 10(d)(1) is not whether a complainant has received some ‘substantial benefit,’ but whether the correlation of that benefit to the charges imposed is reasonable. Such a charge ‘is unreasonable if it is not reasonably related, either to an actual service performed for, or a benefit conferred upon, the person being charged.’” *Kawasaki Kisen Kaisha*, 2014 FMC Lexis 36, *27 (FMC Nov. 20, 2014) (quoting *Indiana Port Comm’n v. Federal Maritime Commission*, 521 F.2d 281, 285 (D.C. Cir. 1975)).

Maher contends that a “party pleading a violation of 46 U.S.C. § 41102(c) need only plead that the alleged practice or procedure was unreasonable.” Opposition at 13 (citation omitted). However, under *Twombly* and *Iqbal*, the Complainant must plead facts sufficient to make the claim

³ “On October 14, 2006, the President signed a bill reenacting the Shipping Act as positive law. The bill’s purpose was to ‘reorganize[e] and restat[e] the laws currently in the appendix to title 46. It codifies existing law rather than creating new law.’ H.R. Rep. 109-170, at 2 (2005). The Commission continues to cite provisions of the Act by their former section references . . .” *Shipco Transport, Inc. v. Jem Logistics, Inc., et al.*, FMC No. 12-06, Order at 3 n.2 (FMC Aug. 21, 2013) (Order Affirming Initial Decision on Default).

plausible. In Docket 08-03, the Commission found that “Maher has not met its burden of establishing a § 41102(c) violation because it has not shown that its rent is not commensurate with the benefits it received from its lease.” Dkt. 08-03 Order at 56. Although the Docket 08-03 proceeding compared Maher’s lease only to APM-Maersk’s lease, the current complaint does not allege facts that would lead to a different outcome. As discussed below, Maher fails to plead sufficient facts to make a Shipping Act violation plausible.

a. Lease Transfer Consent Practices (Count I, Compl. ¶ V(B))

Count I alleges:

As set forth above and incorporated fully herein, PANYNJ’s actions and failures to act violated and continue to violate the foregoing provisions of the Shipping Act by failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property, including but not limited to, PANYNJ’s establishment, observation, and enforcement of its practices with respect to the transfer and/or change of ownership and/or control interests.

Complaint at 8-9.

PANYNJ states:

Maher entirely fails to state a claim for an unreasonable practice based on change of control practices. 12-02 Compl. ¶ V(B). Although Maher does allege that it, as well as PNCT and NYCT, paid change of control fees while the Port Authority “has in other instances consented to transfers and/or changes of ownership and/or changes of interests without requiring payment,” Maher entirely fails to identify *even one terminal operator* that was not required to pay a fee for an actual change of control. 12-02 Compl. ¶¶ IV(C)-(D). This is insufficient to state a claim. *See Twombly*, 550 U.S. at 555 (“Factual allegations must be enough to raise a right to relief above the speculative level.”). Indeed, the only terminal operator as to which Maher has ever raised such a complaint is APM, and that claim has already been rejected. *See Part I(A)(1) supra*. While the Complaint further conclusorily alleges that the change of control policy was otherwise not uniformly applied, “unjustly overcharg[ed] Maher for the benefit received,” requires payment “in excess of[] the cost of the service provided,” and “unjustly overcharg[ed] Maher as compared to other marine terminal operators,” Maher, again, provides *absolutely no facts* to support these vague conclusory allegations. 12-02 Compl. ¶¶ IV(E)-(H); *see Iqbal*, 556 U.S. at 678 (“Threadbare recitals of the elements of a cause of action supported by mere conclusory statements, do not suffice.”).

Motion at 17-18 (emphasis in original).

Maher responds:

Maher's Complaint alleges that PANYNJ's lease transfer consent practices are unreasonable. Maher has alleged facts detailing that PANYNJ has a practice of requiring financial consideration to obtain consent to transfer lease interests and that the practices are unreasonable. Compl. ¶¶ (A)-(H). Maher alleges that PANYNJ has a published policy not reasonably or uniformly applied, that substantial cash payments and economic consideration are required by PANYNJ, that there is a lack of a reasonable relationship to the relative benefits received by Maher and other marine terminal operators. Compl. ¶¶ V(A)(a), V(B). As a result of the alleged practices, Maher has sustained and continues to sustain injuries and damages. Compl. ¶ VI(A). Therefore, Maher's Complaint has satisfied the requisite pleading elements for PANYNJ's unlawful lease transfer consent practices.

Maher Opposition at 13 (footnote omitted).

i. Collateral estoppel

This change of control issue was raised but not resolved in the 08-03 proceeding. The 08-03 Initial Decision ("ID") states that "PANYNJ contends that the security deposit increase in 2007 was required because of the transfer of ownership and control from Maher to RREEF, a policy which has been applied to other tenants, and that this issue was not pled in the complaint and therefore is not an issue in this proceeding." Dkt. 08-03 ID at 52 (citing 08-03 PANYNJ Opposition at 42-43). The Initial Decision found that the "2007 security deposit increase is not alleged as a violation in the complaint but also does not appear unreasonable. PANYNJ had a legitimate reason to require different security deposit requirements from Maher than from APM-Maersk and the evidence demonstrates that the different treatment was justified." Dkt. 08-03 ID at 52. The Commission's decision in Docket 08-03 did not reach the collateral estoppel issue. Dkt 08-03 Order. Accordingly, collateral estoppel does not prevent consideration of the issue in this proceeding.

ii. Failure to state a claim

Maher seems to tie unreasonableness to the allegation that "PANYNJ has not fairly, uniformly, or reasonably observed or enforced its policy." See Complaint at 3. Maher does not, however, suggest how PANYNJ's policies regarding the transfer and change of ownership are unfair or unreasonable. The complaint does not identify the entities, dates, or amounts which Maher thinks violate the Shipping Act. Accepting the facts asserted by Maher as true, the Executive Director of PANYNJ requires payments or commitments to consent to transfers or changes of ownership and evaluates each request under the facts presented. Given the different risks and benefits presented, it is not surprising that the payments are not uniform. The difference, alone, is not sufficient to plead a Shipping Act violation. There is nothing to suggest that PANYNJ did not have a legitimate business reason for these decisions. Complainant's conclusory legal statements, such as "just and

reasonable,” provide no factual support for the allegations that Respondent’s conduct violated the Shipping Act. Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim. Therefore, count I is dismissed.

b. Favoring Ocean Carriers and Ocean-Carrier-Affiliated Marine Terminals (Count II, Compl. ¶ V(C))

Count II alleges:

As set forth above and incorporated fully herein, PANYNJ’s actions and failures to act violated and continue to violate the foregoing provisions of the Shipping Act by failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property, including but not limited to, PANYNJ’s establishment, observation, and enforcement of its practices with respect to providing preferential treatment to ocean carriers and ocean-carrier-affiliated marine terminals.

Complaint at 9. Maher’s complaint indicates that ocean carrier MSC moved its business to another port tenant, PNCT, after which PANYNJ announced an agreement with PNCT and MSC to expand the PNCT terminal and provide other concessions to PNCT. Complaint at 4-5. Maher objects that PANYNJ did not provide comparable expansion opportunities, rate reductions, lease extension, or other preferences to Maher and did not provide for a reduction in Maher’s container volume, rent, or other lease obligations. Complaint at 5-6.

PANYNJ asserts:

Maher fails to plead *any* facts to demonstrate *any* Shipping Act violation based on the Port Authority’s approval of the expansion of the PNCT terminal and other concessions that it gave PNCT in exchange for PNCT committing to certain terminal investments and guaranteeing certain levels of MSC cargo. Maher does not even plead that it requested that the Port Authority provide it with “the same or comparable expansion opportunities, rate reductions, lease extensions, or other preferences” that PNCT received, or plead facts to support that Maher had the desire or ability to provide the same investment and cargo commitments that PNCT provided to the Port Authority in exchange for approval of a terminal expansion. Indeed, Maher pleads no facts that even remotely tend to show that the Port Authority’s new agreement with PNCT is in any way more favorable than Maher’s own lease terms in any respect.

Motion at 28 (emphasis in original).

Maher contends:

Maher alleges that PANYNJ has an unreasonable practice of providing preferential treatment to ocean carriers and ocean-carrier-affiliated marine terminals, including providing PNCT and MSC with numerous concessions unreasonably preferring MSC, an ocean carrier, and ocean-carrier-affiliated terminals. Compl. ¶¶ IV(I)-(T), V(A)(a), V(C). PANYNJ's failure to establish, observe, and enforce reasonable practices has resulted in injury and damages to Maher. Compl. ¶ VI(A). Maher's Complaint has adequately pleaded violations of 46 U.S.C. § 41102(c).

Maher Opposition at 14 (footnote omitted).

Maher does not plead facts suggesting how PANYNJ unreasonably favored ocean carriers. Accepting the facts asserted by Maher as true, PNCT and MSC, and possibly other ocean carriers or ocean-carrier-affiliated marine terminals, received concessions when negotiating their leases. The complaint does not allege that Maher requested comparable concessions or lease terms. Moreover, differences in leases, by themselves, do not create a Shipping Act violation. Docket 08-03 involved alleged preferential treatment for APM-Maersk because it was an ocean carrier. In that case, no violation was found. There is nothing to suggest that PANYNJ did not have a legitimate business reason for providing concession or to plausibly claim that PANYNJ's agreements with PNCT and MSC were unreasonable. Complainant's conclusory legal statements, such as "preferential," provide no factual support for the allegations that Respondent's conduct violated the Shipping Act. Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim. Therefore, count II is dismissed.

c. General Releases and Waivers (Count III, Compl. ¶ V(D))

Count III alleges:

As set forth above and incorporated fully herein, PANYNJ's actions and failures to act violated and continue to violate the foregoing provisions of the Shipping Act by failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property, with respect to PANYNJ's unreasonable leasing practice of requiring tenants to provide general releases and/or waivers of claims, including to release PANYNJ from potential violations of the Shipping Act, in marine terminal operator leases, lease extensions and/or amendments and modifications thereto.

Complaint at 9.

PANYNJ states:

Maher alleges that, in entering into leases and lease extensions, modifications, and amendments, the Port Authority has a practice of unlawfully requiring (1) general releases and waivers, See 12-02 Compl. ¶¶ IV(U), V(D)-(F). Maher does not present any facts in its Complaint that show that Maher's lease includes any such provisions, that the Port Authority applied this practice to Maher's lease, or that Maher has been or could be injured in any way by the mere existence of any such provisions in the leases of other terminal operators.

Motion at 6. PANYNJ further contends that "Maher brings unreasonable practice claims based on an alleged practice of requiring lease provisions that Maher does not even allege were contained in its own lease." 12-02 Compl. ¶¶ IV(U), V(D)-(F). Motion at 23.

Maher states:

Maher has further alleged that PANYNJ has failed to establish, enforce, and observe reasonable leasing practices with respect to demanding unreasonable lease provisions, including requiring agreements to release PANYNJ from Shipping Act claims. Compl. ¶¶ IV(U), V(A)(a), V(D). As a result, Maher "has sustained and continues to sustain injury and damages." Compl. ¶ VI(A). Maher's Complaint meets the pleading standards of 46 U.S.C. § 41102(c).

Maher Opposition at 14 (footnote omitted).

Maher does not plead facts suggesting how the release or waiver provisions are unreasonable under the Shipping Act. Maher does not allege that it is subject to these provisions, what would trigger the provisions, the content of the provisions, whether the provisions have been utilized, or which leases contain the provisions. Accepting the facts asserted by Maher as true, PANYNJ requires tenants to provide general releases and/or waivers of claims, including to release PANYNJ of potential violations of the Shipping Act. There is nothing to suggest that PANYNJ did not have a legitimate business reason for including these provisions. Complainant's conclusory legal statements, such as "unreasonable," provide no factual support for the allegations that Respondent's conduct violated the Shipping Act. Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim. Therefore, count III is dismissed.

d. Liquidated Damages Provisions (Count IV, Compl. ¶ V(E))

Count IV alleges:

As set forth above and incorporated fully herein, PANYNJ's actions and failures to act violated and continue to violate the foregoing provisions of the Shipping Act by failing to establish, observe, and enforce just and reasonable regulations and practices

relating to or connected with receiving, handling, storing or delivering property, with respect to PANYNJ's unreasonable leasing practice of requiring tenants to agree to liquidated damages provisions that are unreasonable, and which are designed to trigger if Shipping Act claims are brought against PANYNJ, in marine terminal operator leases, lease extensions and/or amendments and modifications thereto.

Complaint at 9-10.

PANYNJ states:

Maher alleges that, in entering into leases and lease extensions, modifications, and amendments, the Port Authority has a practice of unlawfully requiring . . . liquidated damages provisions, . . . See 12-02 Compl. ¶¶ IV(U), V(D)-(F). Maher does not present any facts in its Complaint that show that Maher's lease includes any such provisions, that the Port Authority applied this practice to Maher's lease, or that Maher has been or could be injured in any way by the mere existence of any such provisions in the leases of other terminal operators.

Motion at 6. PANYNJ further contends that Maher brings unreasonable practice claims based on an alleged practice of requiring lease provisions that Maher does not even allege were contained in its own lease. 12-02 Compl. ¶¶ IV(U), V(D)-(F). Motion as 23.

Maher responds:

Maher alleges that PANYNJ has failed to establish, enforce, and observe reasonable leasing practices with respect to demanding unreasonable lease provisions, including requiring to agree to unreasonable liquidated damages provisions, including provisions designed to trigger if Shipping Act claims are brought against PANYNJ. Compl. ¶¶ IV(U); V(A)(a), V(E). As a result, Maher "has sustained and continues to sustain injury and damages." Compl. ¶ VI(A). Maher has therefore sufficiently pleaded a Shipping Act claim under 46 U.S.C. § 41102(c).

Maher Opposition at 15.

Maher does not plead facts suggesting how liquidated damages provisions are unreasonable under the Shipping Act. Maher does not allege that it is subject to liquidated damages, what would trigger the liquidated damages provisions, the content of the provisions, whether the provisions have been utilized, or which leases contain the provisions. Accepting the facts asserted by Maher as true, PANYNJ requires tenants to agree to liquidated damages provisions. There is nothing to suggest that PANYNJ did not have a legitimate business reason for including these provisions. Complainant's conclusory legal statements, such as "unreasonable," provide no factual support for the allegations that Respondent's conduct violated the Shipping Act. Accordingly, the complaint,

accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim. Therefore, count IV is dismissed.

**c. Setting Future Lease Rates at Rates Not Reasonably Related to
the Cost of Services Provided (Count V, Compl. ¶ V(F))**

Count V alleges:

As set forth above and incorporated fully herein, PANYNJ's actions and failures to act violated and continue to violate the foregoing provisions of the Shipping Act by failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property, with respect to PANYNJ's unreasonable leasing practice of requiring lease rate renewal and/or extension provisions that purport to set future lease rates in advance in a manner not reasonably related to the cost of the services provided, in marine terminal operator leases, lease extensions and/or amendments and modifications thereto.

Complaint at 10.

PANYNJ asserts:

Maher alleges that, in entering into leases and lease extensions, modifications, and amendments, the Port Authority has a practice of unlawfully requiring . . . (3) lease rate renewal and extension provisions purporting "to set future rates not reasonably related to the cost of services provided." See 12-02 Compl. ¶¶ IV(U), V(D)-(F). Maher does not present any facts in its Complaint that show that Maher's lease includes any such provisions, that the Port Authority applied this practice to Maher's lease, or that Maher has been or could be injured in any way by the mere existence of any such provisions in the leases of other terminal operators.

Motion at 6. PANYNJ further contends that "Maher brings unreasonable practice claims based on an alleged practice of requiring lease provisions that Maher does not even allege were contained in its own lease. 12-02 Compl. ¶¶ IV(U), V(D)-(F)." Motion at 23.

Maher states:

Maher alleges that PANYNJ has failed to establish, enforce, and observe reasonable leasing practices with respect to demanding unreasonable lease provisions, including requiring marine terminal operators to agree to future lease rates, in marine terminal operator leases, that are not reasonably related to the cost of services provided. Compl. ¶¶ IV(U), V(A)(a), V(F). As a result, Maher "has sustained and continues to sustain injury and damages." Compl. ¶ VI(A). Maher has satisfied the pleading elements of 46 U.S.C. § 41102(c).

Maher Opposition at 15.

Maher does not plead facts suggesting how setting future lease rates is unreasonable under the Shipping Act. Maher's argument suggests that ports could never enter into leases as rates could not be set for the future due to uncertainty about the costs of services provided. This would create uncertainty for both ports and tenants. Accepting the facts asserted by Maher as true, PANYNJ requires future lease rates to be set in advance without knowing the cost of the services to be rendered. There is nothing to suggest that PANYNJ did not have a legitimate business reason for setting future lease rates. Complainant's conclusory legal statements, such as "not reasonably related" and "unreasonable," provide no factual support for the allegations that Respondent's conduct violated the Shipping Act. Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim. Therefore, count V is dismissed.

f. Excluding Existing Tenants From Consideration as a Lessee, Operator, or Qualified Transferee of the Marine Terminal that is the Subject of the Global Lease (Count VI, Compl. ¶ V(G))

Count VI alleges:

As set forth above and incorporated fully herein, PANYNJ's actions and failures to act violated and continue to violate the foregoing provisions of the Shipping Act by failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property, including but not limited to, PANYNJ's practice of unreasonably excluding Maher and existing tenants for consideration as a lessee, operator or Qualified Transferee of the marine terminal that is the subject of the Global Lease.

Complaint at 10.

PANYNJ states:

In June 2010, the Port Authority "entered into a lease agreement with Global . . . for the operation of a marine terminal facility." 12-02 Compl. ¶ IV(Z). Maher alleges that the Port Authority refused to deal or negotiate with Maher and other existing terminal operators with respect to the letting of the Global terminal. *Id.* at ¶¶ IV(V)-(W). Maher claims that it requested the opportunity from the Port Authority to negotiate for the letting of the Global terminal prior to the execution of the Global lease, *id.* at ¶ IV(AA), but fails to allege any facts that remotely support that the Port Authority *unreasonably* refused to deal with Maher or *unreasonably* excluded Maher from consideration as a prospective operator of the terminal, or that other terminal operators even expressed an interest in leasing the terminal.

Motion at 7 (footnote omitted).

Maher asserts:

Maher has alleged that PANYNJ has an unreasonable practice of excluding Maher and other existing tenants from consideration for the marine terminal that is the subject of the Global Lease, including preventing tenants from qualifying as a Qualified Transferee under the Global Lease. Compl. ¶¶ IV(V)-(W), V(A)(a), V(G). Maher further alleged that PANYNJ's unreasonable actions resulted in harm and injury to Maher. Compl. ¶ VI(A). Thus, Maher meets the Commission's pleading standard for its claim.

Maher Opposition at 15-16.

Maher does not plead facts suggesting how excluding existing tenants from consideration for additional leases is unreasonable under the Shipping Act. Accepting the facts asserted by Maher as true, PANYNJ did not include Maher and existing tenants in consideration as a leasee of the marine terminal that is the subject of the Global Lease. Maher does not point to any obligation by a port to allow other tenants to present bids and in Docket 08-03, there was evidence that the Maher lease with the PANYNJ was also not competitively bid. Dkt. 08-03 Order at 12. There is nothing to suggest that PANYNJ did not have a legitimate business reason for this decision. Complainant's conclusory legal statements, such as "unreasonably," provide no factual support for the allegations that Respondent's conduct violated the Shipping Act. Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim. Therefore, count VI is dismissed.

g. Deferral of APM-Maersk's Leasehold Construction Obligations and Construction Financing (Count VII, Compl. ¶ V(H))

Count VII alleges:

As set forth above and incorporated fully herein, PANYNJ's actions and failures to act violated and continue to violate the foregoing provisions of the Shipping Act by failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property, including but not limited to, PANYNJ's granting a deferral of marine terminal operator leasehold obligations, including but not limited to capital expenditures, and agreeing to providing financing allotted for mandatory projects for terminal capacity expansion projects.

Complaint at 11.

PANYNJ contends:

First, as part of its challenge to APM-Maersk's "capital expenditure obligations," *see* 12-02 Compl. at 6, Maher baldly alleges, in a single paragraph, that, "[i]n addition to consenting to the deferral of the required work [by APM], PANYNJ approved APM's use of PANYNJ construction financing, in amounts equal to or exceeding the costs of the deferred mandatory work, for other projects, including but not limited to, a large expansion APM's container handling capacity." *Id.* at ¶ IV(Y). Maher fails, however, to allege *any* facts to support that the use of financing for other projects violates the Shipping Act in any way. *See Iqbal*, 556 U.S. at 678 ("A claim has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.[]").

Motion at 15. PANYNJ continues:

Although Maher purports to bring an unreasonable practice claim on this basis, 12-02 Compl. ¶ V(H), Maher does not plead any facts to support its claim that an alleged "practice" of allowing the use of construction financing for other construction projects is unlawful, or runs afoul of lease requirements, or, indeed, is anything other than routine performance of the parties' lease. Similarly, while Maher also asserts that such use gives rise to an unreasonable preference claim, *id.* at ¶ V(K), it does not even allege that it sought and was refused permission to use its construction financing for "other projects" similar to those undertaken by APM, as would be necessary to plead that the Port Authority in any way granted a concession to APM that was denied to Maher. Maher's further allegation that the Port Authority did "not provid[e] *additional* PANYNJ financing for other Maher projects, including Maher capacity extension," is a complete *non sequitur* as Maher does not allege that the Port Authority even provided any additional financing to APM as the basis for any legitimate preference claim. *Id.* (emphasis added).

Motion at 15-16.

Maher contends:

Maher alleges that PANYNJ has failed to establish, observe, and enforce reasonable practices with respect to the granting of deferrals of marine terminal operator leasehold obligations, such as the deferral PANYNJ granted to APM for its leasehold capital expenditure obligations and the refusal to grant Maher a similar deferral. Compl. ¶¶ IV(X), V(A)(a), (H). PANYNJ's unjustified and unreasonable actions have resulted in injuries and damages to Maher. Compl. ¶ VI(A). Maher has pled sufficient facts to show a violation of 46 U.S.C. § 41102(c) as a result of PANYNJ's unreasonable practices.

MaHer Opposition at 16 (footnote omitted). Maher continues:

MaHer alleges that PANYNJ has failed to establish, observe, and enforce reasonable practices concerning the use of construction financing allocated for mandatory projects, including facts that PANYNJ approved APM's use of financing allocated to mandatory projects for terminal expansion instead. Compl. ¶¶ IV(Y); V(A)(a), (H). As a result of PANYNJ's unreasonable practices, Maher has incurred injuries and damages. Compl. ¶ VI(A). Therefore, Maher has met the pleading standards for a 46 U.S.C. § 41102(c) claim.

MaHer Opposition at 16-17.

MaHer does not plead facts suggesting how deferral of obligations, including capital expenditures, by APM-Maersk or other port tenants is unreasonable under the Shipping Act. For example, the complaint does not allege facts regarding which capital expenditures or projects it objects to and who received deferrals of marine terminal operator leasehold obligations other than APM-Maersk. Regarding APM-Maersk, a similar issue was raised in the Docket 08-03 proceeding, which found that "MaHer has not established that the Port gave APM-Maersk more favorable financing than it gave MaHer or that it imposed more onerous investment requirements on MaHer." Dkt. 08-03 Order at 50. Accepting the facts asserted by MaHer as true, PANYNJ deferred obligations for APM that it did not defer for MaHer. There is nothing to suggest that PANYNJ did not have a legitimate business reason for deferring leasehold obligations. Complainant's conclusory legal statements, such as "just and reasonable," provide no factual support for the allegations that Respondent's conduct violated the Shipping Act. Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim. Therefore, count VII is dismissed.

2. Undue or Unreasonable Preferences or Prejudices; 46 U.S.C. §41106(2)

Pursuant to section 41106(2) of the Shipping Act, a "marine terminal operator may not give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any person." 46 U.S.C. § 41106(2) (formerly Shipping Act § 10(d)(4) (formerly §§ 10(b)(11) & (12))).

In *Ceres*, the Commission established four elements of an unreasonable preference or advantage or unreasonable prejudice or disadvantage claim:

In order to establish an allegation of an unreasonable preference or prejudice, it must be shown that (1) two parties are similarly situated or in a competitive relationship, (2) the parties were accorded different treatment, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of injury.

Ceres Marine Term., Inc. v. Maryland Port Admin., 27 S.R.R. 1251, 1270 (FMC 1997), *aff'd in part, rev'd in part on other grounds sub nom. Maryland Port Admin. v. Federal Maritime Commission*, 164 F.3d 624, 1998 WL 716035 (4th Cir. Oct. 13, 1998) (Table) (footnote omitted) (citing *Distribution Services, Ltd. v. Trans-Pacific Freight Conf. of Japan*, 24 S.R.R. 714, 720 (FMC 1988)); *see also* 08-03 Order at 28. Mere differences in treatment alone, however, do not violate the Shipping Act. *See Petchem, Inc. v. Federal Maritime Commission*, 853 F.2d 958, 963 (D.C. Cir. 1988) ("The Act clearly contemplates the existence of permissible preferences or prejudices."). Therefore, only "undue or unreasonable preferences and prejudices would be violative of the Prohibited Acts." *Seacon Terminals, Inc. v. Port of Seattle*, 26 S.R.R. 886, 900 (FMC 1993) (emphasis in original). "Indeed, it would be impossible for the Port to insure that all of its tenants are identically situated, since each parcel and each operator has geographical and commercial idiosyncracies." *Seacon*, 26 S.R.R. at 900 (footnote omitted).

In Docket 08-03, the Commission compared the terms of the Maher lease at issue here with the APM-Maersk lease to determine whether there was an unreasonable preference. The Commission noted that the question is whether the differences in lease terms are reasonable and based on valid transportation factors. Dkt. 08-03 Order at 29. The Commission specifically stated that "neither *Ceres I* nor *Ceres II* states that a port has an absolute continuing duty to provide all lessees with identical lease terms" and that "Maher cites no authority for the proposition that the Shipping Act requires a port authority to reevaluate lease provisions during the life of the lease to make sure they serve their intended purpose." Dkt. 08-03 Order at 34 n.12, 40. The Commission concluded that Maher had not established that its lease terms were "not reasonably related to the services rendered." Dkt. 08-03 Order at 42.

Maher argues that to "plead an undue or unreasonable preference claim requires the complainant to allege that it was subjected to different treatment by the respondent and was injured as a result." Opposition at 17 (citation omitted). However, as discussed above, mere differences, alone, do not violate the Shipping Act, the violation must plausibly be undue or unreasonable.

Maher pleads a lack of valid transportation purposes, alleging that there "is no valid transportation purpose for the foregoing undue or unreasonable prejudices against Maher and undue or unreasonable preferences advantaging other entities" and that if there "is a valid transportation purpose, the discriminatory actions of PANYNJ exceed what is necessary to achieve the purpose." Complaint at 13. These conclusory legal allegations are considered, but do not provide sufficient factual support to make the Shipping Act allegations plausible.

a. Lease Transfer Practices (Count VIII, Compl. ¶ V(I))

Count VIII alleges:

As set forth above and incorporated fully herein, PANYNJ's actions and failures to act violated and continue to violate the foregoing provisions of the Shipping Act by imposing on Maher unduly and unreasonably more prejudicial requirements for

payments and economic considerations for PANYNJ consent to transfer and/or change of ownership and/or control interests than required of Maersk, APM, PNCT, NYCT, and other marine terminal operators, and by providing undue preferences to other marine terminal operators.

Complaint at 11.

PANYNJ contends that the claims of unreasonable prejudice premised upon PANYNJ's change of control policy "lack the requisite 'factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.'" Motion at 16 (quoting *Iqbal*, 556 U.S. at 678). PANYNJ contends that this claim was already rejected as to Maersk and APM and is barred by collateral estoppel. As to PNCT and NYCT, Respondent asserts that Maher fails to allege any facts to support that they received a preference, much less an unreasonable one, but rather the complaint alleges that PNCT and NYCT, like Maher, were also required to pay change of control fees. Motion at 17. Respondent maintains that "all Maher has done is point to alleged 'differences' between another tenant's lease and operation at the port and its own, and assert, in wholly conclusory fashion, that they amount to unreasonable practices and preferences and refusals to deal. But the law is clear that such 'labels and conclusions' cannot survive a motion to dismiss." Motion at 18 (quoting *Iqbal*, 556 U.S. at 678).

Maher asserts:

Maher has satisfied the requisite pleading standards for its claim that PANYNJ's lease transfer consent practices resulted in undue prejudice to Maher. Compl. ¶¶ V(A)(b), V(I). Maher has provided detailed allegations concerning PANYNJ's lease transfer consent practices, including that PANYNJ has not "fairly, uniformly, or reasonably enforced its policy of conducting 'appropriate due diligence' or requiring 'appropriate' consideration," and that it unjustifiably imposed on Maher more prejudicial requirements than other marine terminal operators in the port. Compl. ¶¶ IV(A)-(H), V(A)(b), V(I). As a result, Maher alleges that it suffered injury and damages, including unreasonable payments and economic considerations. Compl. ¶ VI(A).

Maher Opposition at 17 (footnote omitted).

Maher does not plead facts suggesting how PANYNJ's lease transfer practices are undue or unreasonable. Accepting the facts asserted by Maher as true, the Executive Director of PANYNJ requires payments or commitments to consent to transfers or changes of ownership and evaluates each request under the facts presented. The complaint does not identify the entities, dates, or amounts which Maher allege violate the Shipping Act. The lack of uniformity in payments may be due to the different risks and benefits associated with each lease. The difference, alone, is not sufficient to plead a Shipping Act violation. There is nothing to suggest that PANYNJ did not have a legitimate business reason for deferring leasehold obligations. Complainant's conclusory legal

statements, such as “unduly” and “unreasonably,” provide no factual support of its allegations that Respondent’s conduct violated the Shipping Act. Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim. Therefore, count VIII is dismissed.

b. Agreement to Defer APM-Maersk’s Leasehold Construction Obligations (Count IX, Compl. ¶ V(J))

Count IX alleges:

As set forth above and incorporated fully herein, PANYNJ’s actions and failures to act violated and continue to violate the foregoing provisions of the Shipping Act by granting and continuing to grant to APM unduly and unreasonably preferential treatment than provided to Maher and which prejudice Maher, including but not limited to, PANYNJ granting APM a deferral until 2017 of required leasehold capital expenditures, while PANYNJ prejudices Maher by requiring Maher to fulfill leasehold capital expenditure obligations and refusing to provide Maher deferral of its obligations or other relief.

Complaint at 11-12.

PANYNJ states:

Maher has simply not alleged any facts supporting a “reasonable inference” that the Port Authority’s actions concerning APM’s capital expenditure obligations and construction financing, or its application of the change of control policy, amount to any violation of the Shipping Act. *Iqbal*, 556 U.S. at 678. Rather, all Maher has done is point to alleged “differences” between another tenant’s lease and operation at the port, and its own, and assert, in wholly conclusory fashion, that they amount to unreasonable practices and preferences and refusals to deal. But the law is plain that such “labels and conclusions” cannot survive a motion to dismiss. *Id.* Were it otherwise, every single terminal operator could comb through another tenant’s lease, identify a difference, file an action, and cumulatively paralyze the ports and submerge the Commission in specious litigation. This must not be permitted. Accordingly, these claims must be dismissed for failure to state a claim.

Motion at 17.

Maher states:

Maher’s claim concerning PANYNJ’s agreement to defer APM’s leasehold construction obligations properly pleads the elements required to state a 46 U.S.C. § 41106(2) claim. Maher’s Complaint alleges that PANYNJ agreed to provide APM

a valuable deferral of its leasehold capital construction obligations and did not agree to similar concessions for Maher. Compl. ¶¶ IV(X), IV(BB), V(A)(b), V(J). As a result of PANYNJ's unlawful conduct, Maher alleges it was injured and damaged, including the sustaining of higher costs and additional obligations not required of APM. Compl. ¶ VI(A). The allegations on the face of the Complaint are sufficient to state the claim.

Maher Opposition at 17-18.

In Docket 08-03, the Commission stated that Maher's argument "assumes that Maher had a greater investment requirement than APM-Maersk, which is not supported by the lease." Dkt. 08-03 Order at 49 n.18. The Commission found that "Maher has not established that the Port gave APM-Maersk more favorable financing than it gave Maher or that it imposed more onerous investment requirements on Maher." Dkt. 08-03 Order at 50. Assuming that in this proceeding, Maher is objecting to actions that were not addressed in the Docket 08-03 proceeding, Maher has not provided facts to plausibly suggest that the outcome would be different in this proceeding.

Maher does not plead facts suggesting how an agreement to defer APM-Maersk's leasehold construction obligations is undue or unreasonable. Accepting the facts asserted by Maher as true, in 2008, PANYNJ permitted APM-Maersk to defer APM-Maersk's leasehold capital expenditure obligations. There is nothing to suggest that PANYNJ did not have a legitimate business reason for this decision or to suggest why the agreement was undue or unreasonable. Identifying a difference, alone, is not sufficient to plead a Shipping Act violation. Complainant's conclusory legal statements, such as "unduly" and "unreasonably," provide no factual support of its allegations that Respondent's conduct violated the Shipping Act. Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim. Therefore, count IX is dismissed.

c. Approval of APM-Maersk's Use of Construction Financing Allocated for Mandatory Projects for Other Projects (Count X, Compl. ¶ V(K))

Count X alleges:

As set forth above and incorporated fully herein, PANYNJ's actions and failures to act violated and continue to violate the foregoing provisions of the Shipping Act by granting and continuing to grant to APM unduly and unreasonably preferential treatment than provided to Maher and which prejudice Maher, including but not limited to, PANYNJ approving APM's use of PANYNJ construction financing allocated for mandatory projects for other projects, including but not limited to an expansion of APM's container handling capacity while not providing additional PANYNJ financing for other Maher projects, including Maher capacity expansion.

Complaint at 12.

PANYNJ states:

Maher does not plead any facts to support its claim that an alleged “practice” of allowing the use of construction financing for other construction projects is unlawful, or runs afoul of lease requirements, or, indeed, is anything other than routine performance of the parties’ lease. Similarly, while Maher also asserts that such use gives rise to an unreasonable preference claim, *id.* at ¶ V(K), it does not even allege that it sought and was refused permission to use its construction financing for “other projects” similar to those undertaken by APM, as would be necessary to plead that the Port Authority in any way granted a concession to APM that was denied to Maher. Maher’s further allegation that the Port Authority did “not provid[e] *additional* PANYNJ financing for other Maher projects, including Maher capacity extension,” is a complete *non sequitur* as Maher does not allege that the Port Authority even provided any additional financing to APM as the basis for any legitimate preference claim. *Id.* (emphasis added).

Motion at 15-16.

Maher contends:

Maher alleges that PANYNJ granted and continues to grant APM unduly and unreasonably preferential treatment with respect to approval of APM’s use of PANYNJ construction financing, allocated for mandatory projects, for other projects, including an expansion of terminal capacity beyond what was contemplated in its lease with PANYNJ. Compl. ¶¶ IV(Y), V(A)(b), V(K). PANYNJ did not grant Maher similar concessions. Compl. at IV(BB). As a result, Maher suffered and continues to suffer injury and damages from PANYNJ’s undue and unreasonable preferences. Compl. ¶ VI(A). Maher has met the pleading standard for a 46 U.S.C. § 41106(2) claim.

Maher Opposition at 18 (footnote omitted).

Maher does not sufficiently explain how PANYNJ’s approval of APM-Maersk’s use of construction financing is undue or unreasonable. Accepting the facts asserted by Maher as true, PANYNJ approved APM-Maersk’s use of construction financing. There are not sufficient facts to suggest that PANYNJ had an obligation to renegotiate its thirty-year lease with Maher based on agreements it made with other port tenants. There is nothing to suggest that PANYNJ did not have a legitimate business reason for this decision. Complainant’s conclusory legal statements, such as “undue,” “unreasonable,” “preferential,” and “prejudice,” provide no factual support of its allegations that Respondent’s conduct violated the Shipping Act. Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim. Therefore, count X is dismissed.

3. Unreasonable Refusal to Deal; 46 U.S.C. § 41106(3)

Section 41106(3) of the Shipping Act states that a marine terminal operator may not “unreasonably refuse to deal or negotiate.” 46 U.S.C. § 41106(3) (Shipping Act §§ 10(b)(10) and 10(d)(3)). “This requires a two-part inquiry: whether [respondent] refused to deal or negotiate, and, if so, whether its refusal was unreasonable.” *Canaveral Port Auth.*, 29 S.R.R. 1436, 1448 (FMC 2003). The Commission has held that a port authority’s refusal to consider a proposal constitutes a refusal to deal or negotiate. *Canaveral Port Auth.*, 29 S.R.R. at 1448. With respect to a port authority, “in determining reasonableness, the agency will look to whether a marine terminal operator gave actual consideration of an entity’s efforts at negotiation.” *Canaveral Port Auth.*, 29 S.R.R. at 1450. A refusal is not unreasonable where it is “justified by particular circumstances in effect.” *Docking and Lease Agreement*, 30 S.R.R. at 379. Moreover, the Commission may defer to a port’s reasonable, discretionary business decisions regarding negotiations. *Seacon Terminals*, 26 S.R.R. 899.

PANYNJ states:

Maher has simply not alleged any facts supporting a “reasonable inference” that the Port Authority’s actions concerning APM’s capital expenditure obligations and construction financing, or its application of the change of control policy, amount to any violation of the Shipping Act. *Iqbal*, 556 U.S. at 678. Rather, all Maher has done is point to alleged “differences” between another tenant’s lease and operation at the port, and its own, and assert, in wholly conclusory fashion, that they amount to unreasonable practices and preferences and refusals to deal. But the law is plain that such “labels and conclusions” cannot survive a motion to dismiss. *Id.* Were it otherwise, every single terminal operator could comb through another tenant’s lease, identify a difference, file an action, and cumulatively paralyze the ports and submerge the Commission in specious litigation. This must not be permitted. Accordingly, these claims must be dismissed for failure to state a claim.

Motion at 18.

Maher alleges that PANYNJ refused to negotiate deferral of Maher’s leasehold capital construction obligations, that Maher was excluded from consideration as a prospective operator of a marine terminal that is now the subject of the Global Lease, and that the PANYNJ had unreasonable lease transfer practices. Opposition at 19-21. Maher states that it requested parity with APM and that PANYNJ unreasonably refused such requests. Opposition at 19.

In the 08-03 proceeding, the Commission found that “it was not unreasonable for the Port to reject Maher’s subsequent requests for lease parity [with APM-Maersk], which Maher initiated in 2007. The evidence establishes that the Port gave good faith consideration to Maher’s subsequent requests for parity and that its refusal to accede to Maher’s demands was not unreasonable.” Dkt. 08-03 Order at 59. The Commission concluded that “the Port had valid reasons for treating

Maher differently than APM-Maersk” and that “as a policy matter it would be unduly burdensome for a port authority to have to renegotiate its leases on demand.” Dkt. 08-03 Order at 60.

The mere fact of not receiving parity and of having different lease terms, which demonstrates a difference, is not sufficient to allege that the difference was unreasonable. The Shipping Act does not require “that all interested parties get the same deal.” *Ceres*, 29 S.R.R. at 369. Moreover, Maher does not allege that it bid or requested consideration for the other marine terminal. Even if it did express interest, it is not a violation of the Shipping Act to not be chosen. As discussed more fully below, Maher has not pled sufficient facts to show that there was a refusal to deal and do show that such a refusal was unreasonable.

**a. Deferral of APM-Maersk’s Leasehold Construction Obligations
(Count XI, Compl. ¶ V(L))**

Count XI alleges:

As set forth above and incorporated fully herein, PANYNJ’s actions and failures to act violate the foregoing provisions of the Shipping Act by unreasonably refusing to deal or negotiate with respect to the deferral of Maher’s leasehold capital expenditure obligations or other financial obligations like the foregoing deferral granted to APM.

Complaint at 12.

PANYNJ contends:

Nor does Maher bother to allege facts concerning the Port Authority purported unreasonable refusal to deal with Maher for the deferral of capital expenditure obligations sufficient to “nudge[]” its claim “across the line from conceivable to plausible.” *Iqbal*, 556 U.S. at 680; *see also id.* at 678 (Rule 8 “demands more than an unadorned, the-defendant-unlawfully-harmed-me accusation”); 12-02 Compl ¶ V(L).

Motion at 16.

Maher states:

Regarding PANYNJ’s refusal to negotiate deferral of Maher’s leasehold capital construction obligations, Maher has alleged that it requested parity with APM, PANYNJ unreasonably refused such requests for parity and Maher sustained injuries and damages as a result of PANYNJ’s refusal. Compl. ¶¶ IV(BB), V(A)(c), V(L), VI(A). Therefore, Maher has sufficiently stated a Shipping Act claim.

Maher Opposition at 19 (footnote omitted).

Maher does not sufficiently explain how PANYNJ's approval of APM-Maersk's use of construction financing is undue or unreasonable. Accepting the facts asserted by Maher as true, PANYNJ denied Maher's request. A refusal to deal allegation requires more than that a request is denied. Otherwise, ports would constantly be renegotiating every lease agreement and there would be no certainty provided to any parties to the lease. There are not sufficient facts to suggest that PANYNJ had an obligation to renegotiate its thirty-year lease with Maher based on agreements it made with other port tenants. Moreover, there is nothing to suggest that PANYNJ did not have a legitimate business reason for this decision. Complainant's conclusory legal statements, such as "unreasonably," provide no factual support of its allegations that Respondent's conduct violated the Shipping Act. Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim. Therefore, count XI is dismissed.

**b. Marine Terminal that is the Subject of the Global Lease
(Count XII, Compl. ¶ V(M))**

Count XII alleges:

As set forth above and incorporated fully herein, PANYNJ's actions and failures to act violate the foregoing provisions of the Shipping Act by unreasonably refusing to deal or negotiate with respect to the leasing and operation of the marine terminal which is the subject of the Global Lease.

Complaint at 12.

PANYNJ contends:

Maher alleges that the Port Authority refused to deal or negotiate with Maher and other existing terminal operators with respect to the letting of the Global terminal. Id. at ¶¶ IV(V)-(W). Maher claims that it requested the opportunity from the Port Authority to negotiate for the letting of the Global terminal prior to the execution of the Global lease, id. at ¶ IV(AA), but fails to allege any facts that remotely support that the Port Authority *unreasonably* refused to deal with Maher or *unreasonably* excluded Maher from consideration as a prospective operator of the terminal or that other terminal operators even expressed an interest in leasing the terminal.

Motion at 7. PANYNJ also states:

Maher alleges that the Port Authority unreasonably refused to deal or negotiate with Maher with respect to the letting of the marine terminal facility that was leased in June 2010 to Global. Compl. ¶¶ IV(V)-(W), (Z)-(AA), V(G), V(M). As with the PNCT allegations, Maher fails to plead any factual content or support for these allegations. The vague, lone fact that Maher alleges concerning the Global lease is that it made a "request for parity" "with respect to the letting" of what is now the

Global terminal. *See id.* at 11 ¶¶ IV(AA). Maher does not allege any facts about how the Port Authority unreasonably refused to deal or negotiate with Maher for the Global terminal or how the Port Authority “unreasonably excluded Maher from consideration as a prospective operator” of the Global terminal to support the conclusory allegations in its Complaint. *Id.* at ¶ IV(V).

Motion at 29-30.

Maher states:

Maher alleges that PANYNJ “unreasonably excluded Maher from consideration as a prospective operator of a marine terminal that is now the subject of the Global Lease” and that as a result, Maher has suffered injury and damages. Compl. ¶¶ IV(V), IV(Z)-(AA), V(A)(c), V(M), VI(A). Thus, the pleading elements for Maher’s refusal to deal claim relating to the premises that is now the subject of the Global Lease have been satisfied.

Maher Opposition at 20 (footnote omitted).

Maher does not sufficiently explain how PANYNJ’s Global Lease negotiations are undue or unreasonable. Accepting the facts asserted by Maher as true, PANYNJ denied Maher’s request. Refusal to deal allegations require more than that the request is denied. Maher does not address how excluding existing tenants for consideration for additional leases is unreasonable under the Shipping Act. Maher does not point to any obligation by a port to allow other tenants to present bids and in Docket 08-03, there was evidence that the Maher lease with the PANYNJ was also not competitively bid. Dkt. 08-03 Order at 12. Moreover, there is nothing to suggest that PANYNJ did not have a legitimate business reason for this decision. Complainant’s conclusory legal statements, such as “unreasonably,” provide no factual support of its allegations that Respondent’s conduct violated the Shipping Act. Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim. Therefore, count XII is dismissed.

c. Lease Transfer Practices (Count XIII, Compl. ¶ V(N))

Count XIII alleges:

As set forth above and incorporated fully herein, PANYNJ’s actions and failures to act violate the foregoing provisions of the Shipping Act by unreasonably refusing to deal or negotiate with respect to PANYNJ’s practice to condition PANYNJ’s consent to a change in ownership interest and/or control on requiring entities assuming ownership or control of a lease to pay and/or provide unreasonable economic consideration.

Complaint at 13.

PANYNJ asserts that “[n]or does Maher allege any facts to support its afterthought claim of an unreasonable refusal to deal with Maher concerning the change of control policy. 12-02 Compl. ¶ V(N).” Motion at 18.

Maher states:

Maher has also satisfied the elements of an unreasonable refusal to deal for its claim concerning PANYNJ’s lease transfer consent practices. Maher’s Complaint alleges facts concerning PANYNJ’s unreasonable requirements of “payments of cash and commitments of other economic considerations to obtain PANYNJ’s consent,” that such payments are “unrelated to, and/or for consideration in excess of, the cost of the service provided” and that PANYNJ’s practice of requiring entities assuming ownership or control of a lease to “pay and/or provide unreasonable economic consideration . . . Constitutes an unreasonable refusal to deal by PANYNJ.” Compl. ¶¶ IV(A)-(H), IV(CC), V(A)(c), Y(N). Maher alleges that PANYNJ’s practice has resulted in Maher incurring injury and damages, including unreasonable restrictions on transfers and/or changes in ownership or control interests. Compl. ¶ VI(A). PANYNJ’s cursory argument that Maher does not “allege any facts to support its afterthought claim of an unreasonable refusal to deal” is both contradicted by the facts alleged in Maher’s Complaint and without merit. Mot. to Dismiss at 18.

Maher Opposition at 20-21.

Maher does not sufficiently explain how PANYNJ’s approval of APM-Maersk’s use of construction financing is undue or unreasonable. The complaint does not identify the entities, dates, or amounts which Maher thinks violate the Shipping Act. Accepting the facts asserted by Maher as true, PANYNJ denied Maher’s request. Refusal to deal allegations require more than that the request is denied. Moreover, there is nothing to suggest that PANYNJ did not have a legitimate business reason for this decision. Complainant’s conclusory legal statements, such as “unreasonably,” provide no factual support of its allegations that Respondent’s conduct violated the Shipping Act. Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim. Therefore, count XIII is dismissed.

4. Agreement with Another Marine Terminal Operator or Common Carrier to Unreasonably Discriminate; 46 U.S.C. § 41106(1) (Count XIV, Compl. ¶ V(O))

46 U.S.C. § 41106(1) provides that a marine terminal operator may not “[a]gree with another marine terminal operator or with a common carrier to boycott, or unreasonably discriminate in the provision of terminal services to, a common carrier or ocean tramp.”

Count XIV alleges:

As set forth above and incorporated fully herein, PANYNJ's actions and failures to act with respect to PANYNJ's agreements with PNCT, MSC and other ocean carriers and carrier affiliated marine terminals violate the foregoing provisions of the Shipping Act by agreeing and continuing to agree with other marine terminal operators and common carriers to unreasonably discriminate in the provision of terminal services to common carriers.

Complaint at 13.

PANYNJ asserts that:

Maher does not, however, allege any facts that support its conclusory allegations such as (1) that it requested the same opportunities given to PNCT, (2) that it offered or could have ordered the Port Authority the same cargo and investment commitments that PNCT provided to the Port Authority in exchange for the expansion approval, or (3) that the resulting new arrangements with PNCT is in any fashion more favorable than Maher's own existing lease terms.

Motion at 7.

Maher contends that to sufficiently plead a 46 U.S.C. § 41106(1) claim, a complainant must allege that a marine terminal operator and another marine terminal operator or common carrier agreed to "unreasonably discriminate in the provision of terminal services to, a common carrier or ocean tramp." Opposition at 21 (quoting 46 U.S.C. § 41106(1)). Maher states:

PANYNJ does not independently challenge the sufficiency of Maher's § 41106(1) claim and therefore PANYNJ's motion does not apply to Maher's § 41106(1) claim. In [any] event, Maher's Complaint alleges detailed facts concerning PANYNJ's agreements with PNCT, MSC and others, the substantial concessions granted to PNCT, including terminal expansion, lease extension, rent reductions and the refusal to deal similarly with Maher that injure and discriminate against Maher. Compl. ¶¶ IV(I)-(T), V(A)(d), Y(O). Maher has also alleged that PANYNJ has not "fairly, uniformly, or reasonably enforced its policy of conducting 'appropriate due diligence' or requiring 'appropriate' consideration," and that it unjustifiably imposed on Maher more prejudicial requirements than other marine terminal operators in the port. Compl. ¶¶ IV(A)-(H). The Complaint is sufficient to state the claim and PANYNJ does not move to dismiss Maher's 46 U.S.C. § 41106(1) claim. Mot. to Dismiss at 27-29.

Maher Opposition at 21 (footnote omitted).

PANYNJ moved to dismiss the entire complaint in this proceeding, requesting that “Maher’s claims should be dismissed in their entirety with prejudice.” Motion at 39. PANYNJ discussed all of the facts presented in the complaint and contended that they do not support any Shipping Act violations. While PANYNJ could have addressed this allegation more fully, the motion was sufficient to put Maher on notice that PANYNJ moved to dismiss this count.

Maher does not sufficiently explain how PANYNJ unreasonably discriminated against Maher or to what concessions provided to PNCT, MSC, or others it objects. Accepting the facts asserted by Maher as true, PANYNJ included lease concessions in leases with other terminal tenants. There is nothing to suggest that PANYNJ did not have a legitimate business reason for these decisions. Complainant’s conclusory legal statements, such as “unreasonably” and “more prejudicial requirements,” do not provide sufficient factual support of its allegations that Respondent’s conduct violated the Shipping Act. Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim. Therefore, count XIV is dismissed.

G. Conclusion

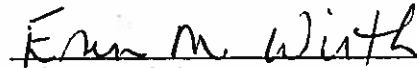
While there could be situations where a port’s lease violated the Shipping Act, Maher’s complaint does not plead sufficient facts to find, in this case, that these claims are plausible. These parties have had a contentious relationship, including two prior Shipping Act proceedings, and have engaged in extensive discovery.⁴ Maher has not requested an amendment to its pleadings and does not even assert that the complaint meets the *Iqbal* and *Twombly* pleading standards. “A court need not allow an amendment where (1) there has been undue delay or repeated failure to cure deficiencies in previously allowed amendments; (2) where allowing amendment would cause undue prejudice to the opposing party; or (3) where amendment would be futile.” *Birdette v. Saxon Mortgage*, 502 Fed. Appx. 839, 841 (11th Cir. 2012); *see also Holmes v. Grubman*, 568 F.3d 329, 334 (2d Cir. 2009) (“A district court has discretion to deny leave for good reason, including futility, bad faith, undue delay, or undue prejudice to the opposing party.” (citing *McCarthy v. Dun & Bradstreet Corp.*, 482 F.3d 184, 200 (2d Cir. 2007))). It appears that in this proceeding, amendment of the pleadings would be futile and therefore the complaint is dismissed with prejudice.

Given the conclusions above, it is not necessary to reach PANYNJ’s arguments that the complaint should be dismissed because of collateral estoppel, statute of limitations, and lack of standing and ripeness.

⁴ The issues in the other proceedings were overlapping but not identical to the issues in this proceeding and if this case were to proceed, additional discovery would likely be required.

IV.

For the above-stated reasons, it is hereby **ORDERED** that the motion to dismiss filed by the Port Authority be **GRANTED** and that the claims against The Port Authority of New York and New Jersey be **DISMISSED WITH PREJUDICE**. All other pending motions are hereby **DISMISSED AS MOOT**.


Erin M. Wirth
Administrative Law Judge